

Reform Democrats of the New Commonwealth · Project ARA 2028
Legislative Ecosystem Document Leg06 of Leg14

Billionaire Wealth & Digital Services Tax Act of 2030

Bill Framework & Legislative Brief

Phase II · Track A · Second Reconciliation Window · Phase II · Track A · Year 3–6

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This document is a policy discussion framework and bill scaffold. It is not formally introduced legislation, has not been reviewed by licensed legislative counsel, and does not constitute legal advice of any kind.

All provisions marked [TBD] — including dollar amounts, specific IRC section numbers, penalty thresholds, appropriation amounts, and CBO scoring figures — require resolution by licensed legislative drafting counsel (the Office of Legislative Counsel for the House or Senate, as applicable), relevant agency technical staff, and the Congressional Budget Office before introduction as formal legislation.

Constitutional arguments, legal analyses, and statutory framings presented herein are analytical assessments developed for policy planning purposes. They are not legal opinions and have not been reviewed or validated by licensed legal counsel. This document identifies constitutional and legal risks requiring independent review — those identifications are planning guidance, not legal conclusions.

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Consultation with licensed legislative counsel, the Department of Justice Office of Legal Counsel, the Treasury Office of Tax Policy, the Congressional Budget Office, and Senate Finance Committee constitutional counsel is required before any framework in this series may be introduced as formal legislation. Distribution is subject to RDNC classification protocols (REF_ layer: internal use and trusted partners only).

Phase II · Track A · Second Reconciliation Window · Bill 5

Part I — Legislative Brief (Non-Technical Summary)

This bill makes two things true simultaneously: it captures revenue from the concentration of wealth that has defined the past four decades, and it does so using two mechanisms that are structurally and politically distinct enough that one can survive if the other faces opposition.

AT A GLANCE

Bill Title	Billionaire Wealth and Digital Services Tax Act of 2030
Short Title (Cite As)	The BWDS Act of 2030
Legislative Vehicle	Budget Reconciliation

Phase / Track	Phase II · Track A · Year 3–6
Primary Committees	Senate Finance
Dependencies	Phase I coalition established; international coordination underway
Core Framing	"Fair contribution from those who benefited most."
Strategic Note	Lead with digital services levy — highest public sympathy, lowest opposition. Wealth tax follows.
Constitutional Risk	Highest in bill series — Moore v. United States (2024) 4-Justice realization bloc. Body-baked safety + prepared fallback architecture in Sec 204(f).
Byrd Rule Status	All three titles direct revenue effect — reconciliation eligible

What This Bill Does:

- 1. Establishes a digital services revenue levy on large technology platforms.** A targeted Flint v. Stone Tracy excise on revenue from digital advertising, marketplace transactions, and data monetization for companies exceeding gross revenue thresholds.
- 2. Establishes a Billionaire Income Tax (BIT) under §446 accounting method framework.** Mark-to-market on traded assets (parallel to existing §§475/1256/1296). Deferral charge on non-traded assets payable at Realization Event (§1291/§453A model). Deemed realization at death with estate tax coordination (§877A parallel). Structured as Subtitle A income tax with Sec 204 Constitutional Construction binding the framing in operative bill text.
- 3. Closes offshore account and shell corporation loopholes.** Strengthens FATCA reporting, beneficial ownership disclosure, and civil/criminal penalties for concealment.

ATTACK SURFACE	"Wealth tax is unconstitutional" (Direct Tax Clause). "Capital flight." "Punishing success." "Job-killing." All predictable and pre-answerable.
DEFENSE STRATEGY	Digital services levy: "These platforms built trillion-dollar valuations on American users, American infrastructure, and American legal protections. A fair contribution is not radical." Wealth tax: frame as mark-to-market income tax (§§475, 1256, 1296 precedents) under §446 accounting method — not property tax. Sec 204 Constitutional Construction binds the framing in operative bill text.
FALLBACK POSITION	If Sec 201(a) annual mark-to-market is held unconstitutional: Sec 204(f) operative authority converts to elective §446 framework administered by Treasury (Architecture B). Sec 202 deferral charge (§1291/§453A model) and Sec 203 deemed realization at death (§877A precedent) continue as primary income tax mechanism — both far stronger constitutional ground than annual MTM. Digital services levy can pass independently as Flint excise.

Part II — Bill Framework

This is the structural scaffold of the bill. Rate percentages, revenue thresholds, and constitutional construction are flagged as [TBD] where they require licensed legislative counsel, DOJ OLC, Treasury Office of Tax Policy, and Senate Finance Committee constitutional counsel review before introduction. Sec 204 Constitutional Construction binds the framing of all

Title II provisions; Sec 204(f) establishes prepared fallback architecture for severability.

119TH CONGRESS 1ST SESSION S. ____

To establish a digital services revenue levy on large technology platforms; to impose a progressive annual billionaire income tax on mark-to-market and deemed realization basis; to strengthen offshore tax enforcement; and for other purposes.

A B I L L

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

SEC. 1. SHORT TITLE.

This Act may be cited as the "Billionaire Wealth and Digital Services Tax Act of 2030" or the "BWDS Act of 2030".

SEC. 2. FINDINGS AND PURPOSE.

(a) FINDINGS.—Congress finds the following:

- (1) The combined net worth of American billionaires has increased from approximately \$1 trillion in 1990 to over \$5 trillion by 2024, while effective Federal income tax rates on the wealthiest Americans have declined significantly, largely because current law generally does not tax income until a taxable event occurs.
- (2) Congress has enacted mark-to-market income inclusion for specific asset classes — dealer securities (IRC §475), regulated futures (§1256), and PFICs (§1296) — demonstrating the constitutional validity of annual income recognition under the section 446 accounting method framework without a sale event.
- (3) Large digital services platforms have generated substantial revenues from American users and infrastructure while maintaining effective Federal tax rates significantly below the statutory corporate rate.
- (4) IRS estimates that offshore tax evasion accounts for a significant portion of the annual tax gap, with high-income individuals and beneficial-ownership concealment structures responsible for the largest single category.

(b) PURPOSE.—The purposes of this Act are to—

- (1) establish a digital services revenue levy on large technology platforms structured as a Flint v. Stone Tracy excise on the privilege of providing digital services in United States commerce;
- (2) impose a progressive annual income tax on covered taxpayers (individuals with net wealth exceeding \$1,000,000,000) structured as a mark-to-market accounting method election under section 446, parallel to existing sections 475, 1256, and 1296;
- (3) impose a deferral charge on non-traded covered assets payable upon a Realization Event, parallel to sections 1291 and 453A interest charges;
- (4) treat death as a recognized realization event for covered assets, parallel to section 877A treatment of expatriation; and
- (5) strengthen offshore tax enforcement through expanded FATCA reporting, beneficial ownership disclosure, and civil and criminal penalties for concealment.

SEC. 3. BUDGETARY COMPLIANCE.

(a) RECONCILIATION.—The provisions of this Act are enacted pursuant to reconciliation instructions in the concurrent resolution on the budget for fiscal year 2031.

(b) DIRECT REVENUE EFFECT.—All titles of this Act produce direct revenue effects: Title I (digital services levy) is a direct revenue-raising provision; Title II (billionaire income tax) operates as Subtitle A income tax amendments; Title III (offshore enforcement) is revenue-positive through FATCA expansion. All provisions carry direct budgetary effect and are reconciliation-eligible.

(c) BYRD RULE COMPLIANCE.—Any provision determined by the Senate Parliamentarian to be

extraneous under 2 U.S.C. §644 shall be severable from the remainder of the Act. Sec 204(f) establishes additional severability and prepared fallback architecture for Title II constitutional severability.

TITLE I – DIGITAL SERVICES REVENUE LEVY

SEC. 101. DIGITAL SERVICES LEVY.

- (a) IN GENERAL.—There is imposed on each covered entity a levy equal to [TBD] percent of the digital services revenue of such entity attributable to United States users for the taxable year. The levy is structured as a Flint v. Stone Tracy excise on the privilege of providing digital services in United States commerce, not as an income tax under the Sixteenth Amendment.
- (b) COVERED ENTITY.—A covered entity is a corporation with—
 - (1) global revenue exceeding \$[TBD] for the taxable year; and
 - (2) domestic digital services revenue attributable to United States users exceeding \$[TBD] for the taxable year.
- (c) DIGITAL SERVICES REVENUE.—Digital services revenue includes amounts received from—
 - (1) digital advertising services;
 - (2) online marketplace transaction facilitation fees;
 - (3) social media platform services;
 - (4) cloud computing services; and
 - (5) data monetization activities, including the sale or license of user data or derived analytical products.
- (d) NO PASS-THROUGH BAN.—Nothing in this section shall prohibit a covered entity from passing the levy through to its customers as an itemized line-item charge or otherwise. [Note to counsel: Maryland Digital Advertising Tax (4th Cir. Aug. 2025) [Source 228] struck the Maryland pass-through ban as First Amendment speaker-based discrimination. Sec 101(d) explicitly preserves pass-through to avoid the Maryland defect. Sec 101(e) avoids speaker-based or content-based exemptions.]
- (e) UNIFORM APPLICATION.—The levy under subsection (a) shall be applied uniformly to all covered entities meeting the thresholds in subsection (b), without regard to viewpoint, content, or speaker identity of any digital service.
- (f) REVENUE DEDICATION.—Revenues collected under this section are dedicated to the Universal Basic Investment Fund and the Federal Healthcare Transition Reserve. [Note to counsel: EU DST (3% on revenues >€750M), UK DST (2%), and France DST (3%) provide international precedent. Counsel to coordinate with Treasury international tax counsel to avoid double taxation.]

TITLE II – BILLIONAIRE INCOME TAX (MARK-TO-MARKET AND DEEMED REALIZATION)

SEC. 201. ANNUAL INCOME INCLUSION ON COVERED TRADED ASSETS – MARK-TO-MARKET.

- (a) IN GENERAL.—In the case of a covered taxpayer, the net annual increase in the fair market value of covered traded assets held by the taxpayer during the taxable year shall be treated as income recognized in that taxable year, in accordance with the mark-to-market accounting method election under subsection (b).
- (b) ACCOUNTING METHOD ANCHOR.—Income inclusion under subsection (a) is structured as a mark-to-market accounting method election for covered taxpayers under section 446, parallel to the existing mark-to-market accounting method elections in—
 - (1) section 475 (dealers in securities);
 - (2) section 1256 (regulated futures contracts, foreign currency contracts, nonequity options, dealer equity options, and dealer securities futures contracts); and
 - (3) section 1296 (passive foreign investment company election).

The mark-to-market accounting method established under this section is an income recognition method permitted under section 446(c)(4), not a new direct tax. (See section 204 for Constitutional Construction.)

- (c) COVERED TAXPAYER.—A covered taxpayer is an individual whose net wealth exceeds \$1,000,000,000 as of the last day of the preceding taxable year.
- (d) COVERED TRADED ASSETS.—Covered traded assets means publicly traded securities, regulated futures contracts, and other assets for which a readily ascertainable fair market value is established daily by an organized exchange or established trading market.
- (e) RATE.—The applicable rate is the applicable capital gains rate plus [TBD] percentage points, not to exceed the ordinary income rate.
- (f) BASIS ADJUSTMENT.—The basis of covered traded assets shall be adjusted to reflect amounts included in income under subsection (a) to prevent double inclusion at realization.

[Note to counsel: Sec 201(a) presents the constitutional question the Moore 4-Justice realization bloc may resolve against the bill. Sec 201(b) §446 anchor mitigates by binding (a) to existing mark-to-market accounting method precedents. Sec 204 establishes prepared fallback architecture; full ladder documented in Part III.]

SEC. 202. DEFERRAL CHARGE ON NON-TRADED COVERED ASSETS.

- (a) IN GENERAL.—In the case of a covered taxpayer, a deferral charge is imposed on the unrealized appreciation in non-traded covered assets, calculated at the applicable Federal rate, accumulated annually, and payable upon a Realization Event.
- (b) STRUCTURE PARALLEL.—The deferral charge under subsection (a) is structured parallel to the interest charges under—
 - (1) section 1291 (passive foreign investment company excess distribution interest charge); and
 - (2) section 453A (installment sale interest charge).

Each of these existing sections has operated for decades without successful constitutional challenge.

- (c) REALIZATION EVENT.—A Realization Event means—
 - (1) a sale or exchange of the covered asset;
 - (2) a gift of the covered asset, other than to the taxpayer's spouse;
 - (3) the death of the taxpayer (subject to section 203);
 - (4) expatriation of the taxpayer subject to section 877A; or
 - (5) any other event treated as a recognition event under generally applicable provisions of this title.
- (d) INSTALLMENT ELECTION.—Upon a Realization Event, the covered taxpayer may elect to pay the accumulated deferral charge in equal annual installments over a period not to exceed [TBD] years, subject to interest at the applicable Federal rate.
- (e) NON-TRADED COVERED ASSET.—A non-traded covered asset is any asset of a covered taxpayer for which a readily ascertainable fair market value is not established daily by an organized exchange or established trading market, including closely held business interests, real estate partnerships, art and collectibles above \$[TBD], and non-traded securities.

SEC. 203. DEEMED REALIZATION AT DEATH.

- (a) IN GENERAL.—In the case of a covered taxpayer, all covered assets at death shall be treated as sold at fair market value as of the date of death. Resulting gain shall be recognized as income of the estate.
- (b) MARITAL EXCEPTION.—Subsection (a) shall not apply to covered assets transferred to the surviving spouse of the covered taxpayer. Such assets shall be subject to deemed realization at the death of the surviving spouse or upon any subsequent transfer described in section 202(c).
- (c) ESTATE TAX COORDINATION.—Income taxes paid under this section shall be deductible in computing the Federal estate tax liability of the covered taxpayer's estate.
- (d) SECTION 877A PARALLEL.—Subsection (a) operates parallel to section 877A (deemed realization at expatriation, 2008), which has operated without successful Sixteenth Amendment challenge. Death is at least as constitutionally settled a realization event as expatriation.

SEC. 204. CONSTITUTIONAL CONSTRUCTION AND PREPARED FALLBACK ARCHITECTURE.

(a) **INCOME TAX FRAMING.**—The income inclusion under section 201 is an income tax within the meaning of the Sixteenth Amendment, structured as a mark-to-market accounting method election under section 446(c)(4), parallel to existing mark-to-market accounting elections in sections 475, 1256, and 1296. Each of those existing sections has operated for decades without successful Sixteenth Amendment challenge.

(b) **DEFERRAL CHARGE FRAMING.**—The deferral charge under section 202 is an interest charge on tax deferred until a Realization Event, structured parallel to existing interest charges under sections 1291 (passive foreign investment company excess distribution) and 453A (installment sale interest). Each has operated without successful constitutional challenge.

(c) **DEEMED REALIZATION FRAMING.**—The deemed realization under section 203 treats death as a recognized realization event, parallel to the deemed-realization-at-expatriation provision under section 877A (2008), which has operated without successful Sixteenth Amendment challenge.

(d) **NOT A DIRECT TAX.**—No provision of this title is a tax on property, net wealth, or holdings within the meaning of Article I, section 9, clause 4. All provisions are income inclusions or interest charges under Subtitle A income tax authority.

(e) **MOORE V. UNITED STATES – RESERVED QUESTIONS.**—Moore v. United States, 602 U.S. 572 (2024), reserved the constitutional question whether the Sixteenth Amendment permits taxation of unrealized gains generally. The structure established under sections 201 through 203 is designed to operate within Moore-approved attribution and deemed-realization frameworks, not to present the reserved question.

(f) **SEVERABILITY AND PREPARED FALLBACK ARCHITECTURE.**—If section 201(a) annual income inclusion is held unconstitutional or otherwise stayed pending judicial review—

(1) sections 202 (deferral charge on non-traded covered assets payable at Realization Event) and 203 (deemed realization at death) shall continue to operate as the primary income tax mechanism of this title; and

(2) the mark-to-market accounting method under section 201(b) may be administered by the Secretary of the Treasury as a covered-taxpayer election under section 446(c)(4) authority, with annual income inclusion limited to taxpayers electing the method, pending judicial resolution.

TITLE III – OFFSHORE ENFORCEMENT

SEC. 301. STRENGTHENED OFFSHORE TAX ENFORCEMENT.

(a) **FATCA EXPANSION.**—Reporting thresholds under chapter 4 of the Internal Revenue Code of 1986 (the Foreign Account Tax Compliance Act) are amended to apply lower reporting thresholds to covered taxpayers as defined in section 201(c).

(b) **BENEFICIAL OWNERSHIP DISCLOSURE.**—Beneficial ownership disclosure is required for all foreign entities in which a United States person holds a direct or indirect interest exceeding [TBD] percent. Such disclosure shall be made to the Financial Crimes Enforcement Network under existing 31 U.S.C. §5336 authority, with cross-referencing to IRS information returns.

(c) **CIVIL PENALTIES.**—Civil penalties for willful failure to disclose under subsection (a) or (b) are—

(1) [TBD] percent of the unreported asset value per year of nondisclosure; or

(2) \$[TBD] per violation, whichever is greater.

(d) **CRIMINAL PENALTIES.**—Criminal penalties for willful failure to disclose under subsection (a) or (b), with intent to evade Federal tax, are—

(1) a fine of up to \$[TBD]; and

(2) imprisonment of up to [TBD] years.

(e) **COORDINATION WITH EXISTING REGIMES.**—The Secretary of the Treasury shall coordinate enforcement under this section with existing FATCA, FBAR (31 U.S.C. §5314), and FinCEN beneficial ownership reporting frameworks to avoid duplicative reporting requirements.

(f) **TREATY COORDINATION.**—The Secretary shall notify treaty partners of FATCA expansion under subsection (a) and coordinate through existing intergovernmental agreement (IGA)

frameworks to maintain treaty compliance.

TITLE IV – IMPLEMENTATION AND OVERSIGHT

SEC. 401. IMPLEMENTATION TIMELINE.

- (a) YEAR 1 (2031).—Title I digital services levy effective; Treasury §446(c)(4) election regulations published for Title II; Title III FATCA expansion effective.
- (b) YEAR 3 (2033).—First Title II compliance cycle complete; CBO interim report on revenue capture, billionaire compliance, and constitutional litigation status.
- (c) YEAR 5 (2035).—Comprehensive program review and reauthorization assessment; cumulative revenue, compliance, and litigation outcomes report.

SEC. 402. ANNUAL REPORTING.

Not later than 90 days after the end of each fiscal year, the Secretary of the Treasury shall submit to Congress an annual report including—

- (1) Title I digital services levy revenue, by covered entity category;
- (2) Title II annual income inclusion participation, deferral charge accumulation, and deemed-realization-at-death revenue, with separate accounting for elective §446(c)(4) participation under Sec 204(f)(2);
- (3) Title III FATCA expansion revenue, beneficial ownership disclosures, and civil and criminal enforcement actions; and
- (4) constitutional litigation status, including any judicial proceedings affecting Sec 201(a) operative authority and Sec 204(f) prepared fallback activation.

SEC. 403. TREASURY CONSTITUTIONAL DEFENSE COORDINATION.

(a) IN GENERAL.—The Secretary of the Treasury, in coordination with the Department of Justice Office of Legal Counsel and Senate Finance Committee constitutional counsel, shall establish protocols for the constitutional defense of provisions of this Act, including—

- (1) identification of high-priority litigation defense for Sec 201(a) annual income inclusion;
- (2) preparation of Treasury §446(c)(4) election regulations under Sec 204(f)(2) ready for activation if Sec 201(a) is held unconstitutional or stayed; and
- (3) coordination with Senate Finance Committee on legislative response to adverse constitutional rulings.

(b) FALLBACK ACTIVATION.—Upon entry of a final judgment or stay affecting Sec 201(a), the Secretary shall, within 30 days, publish notice of activation of the Sec 204(f)(2) elective §446(c)(4) framework and provide guidance to covered taxpayers regarding transition.

(c) ANNUAL CONSTITUTIONAL STATUS REPORT.—The annual report under section 402 shall include a section on constitutional litigation status and Sec 204(f) prepared fallback architecture readiness.

Part III — Notes for Congressional Counsel

All [TBD] items and constitutional questions below require resolution before introduction. Sec 201 carries body-baked constitutional safety (§446 accounting method anchor) with prepared Architecture B fallback in Sec 204(f). This is the heaviest constitutional analysis in the bill series, drawing on Moore v. United States (2024), Eisner v. Macomber, Bruun, Cottage Savings, Glenshaw Glass, Flint v. Stone Tracy, IRC §§475/1256/1296/1291/453A/877A precedents, and the Maryland DST 4th Circuit ruling. DOJ OLC review required before introduction.

Item Requiring Resolution	Guidance
Sec 201 hybrid mark-to-market with §446 accounting method anchor — body-baked constitutional safety with prepared B-architecture fallback [Sources 203, 208, 224, 225, 226, 230]	Sec 201 carries the highest constitutional doctrine risk in the bill series under the Moore v. United States (2024) [Source 203] 4-Justice realization bloc (Barrett, Alito, Thomas, Gorsuch). The provision is structured around body-baked safety in Sec 201(b) (§446 accounting method anchor, parallel to §§475/1256/1296 precedents) with prepared fallback architecture in Sec 204(f). Three levels documented for residual exposure. (1) Primary structure (body as drafted — Architecture C). Sec 201(a) presents the politically loud “net annual increase... treated as income recognized” framing. Sec 201(b) operates as the structural anchor: income inclusion under (a) is structured as a §446 accounting method election parallel to existing §475 (dealers), §1256 (regulated futures), and §1296 (PFIC) mark-to-market elections [Source 208]. Each of these existing sections has operated for decades without successful Sixteenth Amendment challenge. Sec 204(a)–(e) establish the constitutional construction explicitly in operative bill text. The constitutional question turns on whether Sec 201(a) is read as creating a new tax on unrealized appreciation (the question Moore reserved) or as extending the §446-permitted accounting method framework to a new class of taxpayers (a constitutionally well-precedented adjustment). The bill body is structured to support the latter reading. (2) Mid-level fallback if Sec 201(a) is held unconstitutional — Architecture B applied. Per Sec 204(f)(2) operative authority, Treasury administers the mark-to-market accounting method under Sec 201(b) as a covered-taxpayer election under §446(c)(4) authority, with annual income inclusion limited to taxpayers electing the method — pending judicial resolution. This converts the structure from mandatory annual MTM (Sec 201(a)) to elective annual MTM under §446 framework, which is the Architecture B preemptive restructure documented in the audit. The constitutional posture changes from “new income inclusion” to “new accounting method election available to covered taxpayers.” This preserves substantial revenue capture under voluntary election (taxpayer incentive: avoid Sec 202 deferral charge accumulation by electing MTM) while removing the mandatory-annual-MTM constitutional question. Counsel should have Treasury §446(c)(4) election regulations drafted before introduction so the Sec 204(f)(2) authority is operationally ready if invoked. Sec 403(a)(2) of this Act requires Treasury to maintain such regulations in ready state. (3) Bottom-level constitutional anchor — Sec 202 + Sec 203 survive any Sec 201 challenge. Per Sec 204(f)(1), if Sec 201(a) is held unconstitutional or stayed, Sec 202 (deferral charge on non-traded assets, §1291/§453A model with Realization Event collection [Source 203]) and Sec 203 (deemed realization at death, parallel to §877A 2008 exit tax [Source 230]) continue to operate as the primary income tax mechanism. Sec 203 deemed realization at death is the most constitutionally secure element of BWDS — even the Barrett/Thomas realization bloc would likely accept death as a recognized realization event, and §877A has operated since 2008 without successful Sixteenth Amendment challenge. Sec 202's deferral-until-Realization-Event structure follows §1291 PFIC excess-distribution interest charge and §453A installment-sale deferral interest precedent — both have operated for decades without successful constitutional challenge. Revenue capture continues at lower magnitude even in the worst-case Sec 201 outcome. (4) Constitutional engagement strategy. DOJ OLC review required before

Item Requiring Resolution	Guidance
	introduction, addressing each track separately. Senate Finance Committee constitutional counsel and Treasury Office of Tax Policy must confirm: (a) Sec 201(b) §446 framework binds Sec 201(a) sufficiently to operate within Moore-approved frameworks rather than presenting the reserved question; (b) Sec 202 §1291/§453A precedent fully supports the deferral charge structure; (c) Sec 203 §877A precedent fully supports deemed realization at death. Anticipate constitutional challenge to Sec 201(a) within 24 months of enactment from Pacific Legal Foundation, Cato Institute, or comparable plaintiff. Sec 204(f) prepared fallback architecture is the planned response. The deliberate constitutional posture is <i>named</i> in counsel materials, not concealed — Sec 204(f) is the body-text instruction to Treasury for the Architecture B fallback if needed.
Moore v. United States (2024) — what it held and what it left open [Source 203]	UPDATED: Moore (602 U.S. 572, 2024), 7-2 on result, is deliberately narrow. Kavanaugh majority upheld the Mandatory Repatriation Tax through attribution doctrine without ruling on whether unrealized gains may be taxed as income generally. Footnote 2 explicitly disclaimed any view on taxes on holdings, wealth, or net worth or taxes on appreciation. Barrett concurrence (with Alito): unrealized income may not be taxed. Thomas dissent (with Gorsuch): Eisner v. Macomber realization requirement is constitutional bedrock. Jackson: no realization requirement. Roberts/Kavanaugh/Sotomayor/Kagan reserved. A single additional vote forms a 5-4 majority requiring realization. BWDS Sec 204(a)–(e) Constitutional Construction binds the framing in operative bill text — Subtitle A income tax under §446 accounting method, NOT property tax or net-worth framing.
Realization doctrine — 4-Justice bloc [Sources 203, 224, 225, 226]	NEW: Eisner v. Macomber (1920) [Source 224] remains formally good law for stock dividends but its broader realization dictum was substantially eroded by Bruun (1940) [Source 225] and Cottage Savings (1991) [Source 226]. Post-Moore, four Justices (Barrett, Alito, Thomas, Gorsuch) are on record treating realization as a constitutional requirement for individual taxpayers. The BIT structure operates within attribution (Moore-approved) and deemed-realization-at-event frameworks, supplemented by the Sec 201(b) §446 accounting method anchor for the annual MTM component. Sec 204(f) prepared fallback architecture provides the operational response if the 4-Justice bloc forms a majority on the reserved question.
Deemed realization at death — strongest constitutional ground [Source 230]	NEW: IRC §877A (2008 exit tax) [Source 230] has operated since 2008 without successful Sixteenth Amendment challenge. Even the Barrett/Thomas realization bloc would likely accept death as a recognized realization event — it is more transformative than expatriation, which §877A addresses. Sec 203 deemed realization at death with estate tax coordination is the MOST CONSTITUTIONALLY SECURE element of BWDS. Prioritize this component in political communications and constitutional findings. Sec 204(c) Constitutional Construction binds the §877A parallel explicitly in operative bill text.
Item Requiring Resolution	Guidance
Deferral charge mechanism — §1291/§453A model [Source 203]	NEW: IRC §1291 (PFIC excess-distribution interest charge, 1986) and IRC §453A (installment-sale deferral interest, 1987) both impose retrospective interest charges at AFR without successful constitutional challenge. Sec 202(a)–(d) accrues the

Item Requiring Resolution	Guidance
	deferral charge annually but defers collection until a Realization Event (sale, gift, death, or expatriation) — the §1291 model. Sec 202(b) binds the parallel structure explicitly in operative bill text. This is defensible as an income tax with an anti-deferral overlay or as a Flint-type excise on the privilege of holding deferral-eligible property. A pure annual collection on individual unrealized appreciation without the deferral-until-event structure has no precedent and faces the 4-Justice realization bloc — this bill does not present that question.
Digital services levy — Flint excise framing required [Sources 227, 228]	NEW: Sec 101(a) frames the digital services levy as a Flint v. Stone Tracy (1911) [Source 227] excise on the privilege of providing digital services in US commerce — NOT as a Sixteenth Amendment income tax. Gross receipts include capital recovery and are not gain derived from capital within Glenshaw Glass, so gross-receipts levy is not Sixteenth Amendment income. Excise framing requires only geographic uniformity under Art. I §8 cl. 1. CRITICAL CAUTION from Maryland Digital Advertising Tax (4th Cir. Aug. 2025) [Source 228]: the pass-through ban was struck as First Amendment speaker-based discrimination. Sec 101(d) explicitly preserves pass-through; Sec 101(e) requires uniform application without speaker-based or content-based exemptions. These two subsections are the operative response to the Maryland defect.
Apportionment risk — the doctrine that kills if it applies [Source 203]	If any BWDS component is found to be a direct tax rather than an income tax or excise, apportionment by population is functionally fatal. No Moore opinion resolved whether the Sixteenth Amendment eliminates apportionment for taxes on unrealized gains. Sec 204(d) NOT A DIRECT TAX is the operative response: every BWDS component is either (a) clearly an income tax under Subtitle A authority (Title II under §446 framework + Sec 204(a)–(c) framing) or (b) clearly an excise under Flint (Title I under Sec 101(a) framing). No hybrid framing that could read as a direct tax on property value.
DOJ OLC constitutional review — required before introduction	DOJ OLC review required before introduction. Given the Moore 4-Justice realization bloc, Treasury and Senate Finance counsel must confirm which BIT components operate within Moore's approved attribution doctrine vs. which extend to individual unrealized appreciation. The four-track structure (Sec 201 mark-to-market on traded assets under §446 anchor; Sec 202 deferral charge on non-traded assets payable at Realization Event under §1291/§453A model; Sec 203 deemed realization at death under §877A model; Sec 204(f) prepared fallback architecture) is designed to maximize constitutional defensibility by providing alternative structural bases for each component. OLC review should address each track separately. Sec 403 of this Act establishes Treasury Constitutional Defense Coordination as the operative coordination mechanism.
Item Requiring Resolution	Guidance
IRC §§475/1256/1296 precedents — no successful constitutional challenges [Source 208]	IRC §475 (dealers, 1993), §1256 (futures 60/40 MTM, 1981), and §1296 (PFIC MTM election) have operated for decades without successful Sixteenth Amendment challenge. Each is defensible as a Flint excise on trade/business privilege or as a permissible §446 accounting method. None taxes pure passive appreciation in the hands of an individual long-term holder — Sec 201(b) §446 accounting method

Item Requiring Resolution	Guidance
	anchor is the operative bridge from existing precedent to the covered-taxpayer framework. Counsel must verify the individual-billionaire application fits within the §446 accounting method framework as drafted, with the Sec 204(f)(2) elective fallback ready as the secondary defense if the mandatory-application framing is challenged.
Illiquid asset valuation (Sec. 202) — safe harbor rules essential	Treasury to develop safe harbor valuation rules for the deferral charge on non-traded assets. IRS has existing estate tax valuation machinery (IRC §2031, §2512) — adapt for annual deferral charge accrual. Safe harbor elections for closely held businesses, real estate partnerships, and non-traded securities are essential to administrative viability. Deferral election to Realization Event (Sec 202(d) installment election) is constitutionally necessary to preserve the §1291/§453A model parallel.
Byrd Rule certification	Title I (digital services levy): direct revenue effect — clearly budget-relevant. Title II (BIT under §446 framework): Subtitle A income tax amendment — budget-relevant. Title III (FATCA enforcement): revenue-positive. Title IV (Implementation): operational provisions tied to revenue outcomes. All four titles should survive Byrd Rule as revenue-raising provisions. Risk: if any component is characterized as regulatory rather than revenue (e.g., behavioral mandates on platforms beyond the levy itself), that component faces merely-incidental Byrd analysis. Sec 101 is structured as a pure revenue levy without behavioral mandates beyond the threshold qualification. Title II is structured as Subtitle A income tax under existing accounting method framework. Keep non-revenue provisions out of the reconciliation vehicle.
FATCA coordination (Sec. 301)	Treasury international tax counsel to assess interaction with existing tax treaties and IGA framework. FATCA modifications under Sec 301(a) may require treaty partner notification — Sec 301(f) requires the Secretary to notify treaty partners and coordinate through existing IGA frameworks. The deemed-realization-at-expatriation component coordinates with existing §877A and FATCA infrastructure (Sec 202(c)(4) Realization Event includes §877A expatriation) — present as administrative extension, not a new legal regime, to minimize treaty-partner friction. Sec 301(e) coordination with FBAR (31 U.S.C. §5314) and FinCEN beneficial ownership reporting avoids duplicative reporting requirements.

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Legal disclaimer applies — see page 1. This framework requires licensed legislative counsel, DOJ OLC, and Treasury Office of Tax Policy review before introduction.

Originally conceived and authored by a concerned American citizen. Developed with the assistance of Claude (Anthropic). The ideas belong to anyone willing to fight for them.